Until August 15, 1971, wealth was tallied in units of a real and natural thing: gold. It measured out the world's other real things: its resources and its output. Its main advantage was that it couldn't be diddled.

For proof: *Nuestra Señora de Atocha*, a Spanish galleon, sank in a storm off the Florida coast in 1622. When it was found in the 1970s, its treasure of gold doubloons was just as valuable as it was when the ship left Havana 350 years before.

But post-1971, we have a new, avant garde money system. Wealth is counted up in pieces of paper or as electronic "information." Each unit has no real value of its own. It represents only a claim against real goods and services. And each year, it purchases fewer of them.

What is most remarkable about this freakish new money system is that it is always on the road to hell, but never seems to get there. Since 1971, paper currencies have lost value at a breakneck speed. You'd think their necks would be broken by now. In 1972, we bought a gallon of gasoline for 24 cents. Now it is 16 times that much. Gold has gone up 50 times—for a 98 percent loss to the dollar holder. If this pattern continues for another 40 years, a gold doubloon will buy about what it does today. A dollar will buy nothing.

And then, in August 2011, along came Standard & Poor's (S&P) with more bad news: Not only is the dollar disappearing, but if you lend money to the U.S. government, you might not get it back. The stock market took the news badly. But bond investors bought with even more lusty recklessness than before. It was as if they really didn't want the money back anyway. Yields on U.S. 10-year notes fell from around 3 percent to scarcely more than 2 percent, giving investors a negative real yield.

But the fall in yields (the rise in bond prices) should not come as a surprise. Japan's government debt lost its triple-A status in 2002. Yields did not rise. Instead, they stayed between 1 percent and 2 percent. Then, when equities plummeted after the S&P announcement, Japanese 10-year notes—IOUs of the most deeply indebted nation on Earth—reached an all-time high, with yields just below 1 percent.

But it's not the nominal rate that counts; it's the real rate. For 20 years, stocks and property in Japan got hammered. Bond buyers are the only ones who made any money. A debt deflation causes prices to fall. When prices